I. THE PUZZLE OF THE PEPPERCORN

Courts have long said that they will not weigh the adequacy of consideration. A promise supported by a peppercorn binds as surely as one supported by a fortune, so long as the peppercorn was bargained for.[1] The rule is easy to state and hard to defend.

Consider a lender who advances a modest sum in a time of crisis and receives a promise to repay many times that amount. The court that enforces the promise in full applies the rule faithfully; the court that trims it to the value actually received rewrites the bargain.[2] Both claim the authority of the same doctrine.

This Article argues that the doctrine survives because it allocates the risk of mistaken valuation to the parties rather than to the judge. That allocation is defensible in ordinary markets and indefensible where one side cannot walk away.

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1. See RESTATEMENT (SECOND) OF CONTRACTS § 79 (AM. L. INST. 1981).

2. The classic illustration is a wartime loan repaid in a stable currency.

II. A MARKET THEORY OF ADEQUACY

The economic case for ignoring adequacy rests on the claim that parties value performances better than courts do.[3] Each party knows its own circumstances, and a judge who second-guesses the price substitutes a public guess for private information.

The argument weakens when the circumstances that give a party its information are the same circumstances that deprive it of alternatives. Necessity sharpens knowledge of one's own needs while dulling the ability to bargain over them.

A sound rule would therefore ask not whether the exchange was equal but whether the promisor could have declined it. Where refusal was a real option, the price is the parties' business.

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3. For the standard account, see Richard Posner, Economic Analysis of Law 89 (1st ed. 1973).